He’s in disbelief when he learns the stock market is worth half of what it was two years before.

He can’t believe that people’s forecast of their economic potential has plunged.

“I don’t get it,” he says. “I’ve seen the cities. I’ve looked at the factories. You guys have the same knowledge, the same tools, the same ideas. Nothing has changed! Why are you poorer? Why are you more pessimistic?”

There was one change the alien couldn’t see between 2007 and 2009: The stories we told ourselves about the economy.

In 2007, we told a story about the stability of housing prices, the prudence of bankers, and the ability of financial markets to accurately price risk.

In 2009 we stopped believing that story.

That’s the only thing that changed. But it made all the difference in the world.

Once the narrative that home prices will keep rising broke, mortgage defaults rose, then banks lost money, then they reduced lending to other businesses, which led to layoffs, which led to less spending, which led to more layoffs, and on and on.

Other than clinging to a new narrative, we had an identical—if not greater—capacity for wealth and growth in 2009 as we did in 2007. Yet the economy suffered its worst hit in 80 years.

This is different from, say, Germany in 1945, whose manufacturing base had been obliterated. Or Japan in the 2000s, whose working-age population was shrinking. That’s *tangible* economic damage. In 2009 we inflicted *narrative* damage on ourselves, and it was vicious. It’s one of the most potent economic forces that exists.

When we think about the growth of economies, businesses, investments and careers, we tend to think about tangible things—how much stuff do we have and what are we capable of?

But stories are, by far, the most powerful force in the economy. They are the fuel that can let the tangible parts of the economy work, or the brake that holds our capabilities back.